

Fake Breakout / Breakdown Setup

Step	Check List for Fake Breakout / Breakdown Setup		Signal
1	ENTRY CRITERIA		
i	Fake Breakdown (The more conditions satisfy, better the probability)	Tide - BB NOT challenged on the downside AND	Buy
		Wave - Price Breaking below previous Low and closing above previous Low AND	
		Wave - Follow-up Candle breaking above Breakdown Candle High	
		Wave - Lower Bollinger Band - BKP	Buy
		Wave - Bullish Reversal Candlestick Pattern	Buy
		Wave - HA colour change from Red to Green	Buy
		Wave - MACD uptick	Buy
		Wave - RSI > 40	Buy
		Wave - Stochastic Positive Crossover (better from Oversold level)	Buy
		Wave - +DI and -DI converging or positive crossover	Buy
		Wave - Significant fall before the first bottom	Better
		Wave - Significant time between the two bottoms	Better
		ATM PE - Building OI & ATM CE - No Heavy Short Build-up	Better
ii	Fake Breakout (The more conditions satisfy, better the probability)	Tide - BB NOT challenged on the upside AND	Sell
		Wave - Price Breaking above previous High and closing below previous High AND	
		Wave - Follow-up Candle closing below Breakout Candle Low AND	
		Wave - Upper Bollinger Band - BKT	Sell
		Wave - Bearish Reversal Candlestick Pattern	Sell
		Wave - HA colour change from Green to Red	Sell
		Wave - MACD downtick	Sell
		Wave - RSI < 60	Sell
		Wave - Stochastic Negative Crossover (better from Overbought level)	Sell
		Wave - +DI and -DI converging or negative crossover	Sell
		Wave - Significant rally before the first top	Better
		Wave - Significant time between the two tops	Better
		ATM CE - Building OI & ATM PE - No Heavy Short Build-up	Better
2	SUPPORTING INDICATORS		
i	Divergences on Wave (Stochastic and/or RSI)	In the direction of Trade (e.g. Bullish divergence for Long Entry & vice versa)	Go for it!!!
		In the opposite direction of Trade (e.g. Bullish divergence for Short Entry)	Watchful
ii	Volume	High Volumes before Breakout / Breakdown AND	Better
		High volume Breakdown candle engulfed / retraced completely	
iii	Shakeout before Breakout	No Shakeout before Breakout / Breakdown	Better
3	STOP LOSS		
	Long Trade	Breakdown point after the high of the breakdown candle is taken out	
	Short Trade	Breakout point after the low of the breakout candle is taken out	
4	TARGET		
		Calculate based on Price Pattern or Major Support / Resistance	

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